

7-2b The Bretton Woods System (1944–1973)

The gold standard was abandoned first in 1914 when World War I (WW I) broke out and several combatant countries printed excessive amounts of currency to finance their war efforts. After WW I, especially during the Great Depression (1929–1933), countries engaged in competitive devaluations in an effort to boost exports at the expense of trading partners. But no country could win such a “race to the bottom,” and the gold standard had to be jettisoned.

Toward the end of World War II (WW II), at an allied conference in Bretton Woods, New Hampshire, 44 countries agreed on a new system—known simply as the **Bretton Woods system** (A system in which all currencies were pegged at a fixed rate to the US dollar.)

. The Bretton Woods system was centered on the US dollar as the new common denominator. All currencies were pegged at a fixed rate to the dollar. Only the dollar, as the official reserve currency, was convertible into gold at US\$35 per ounce. Other currencies were not required to be gold convertible.

It was the Bretton Woods system that propelled the dollar to the commanding heights of the global economy (see [Figure 7.1](#)). This was also a reflection of the higher US productivity level and the large US trade surplus with the rest of the world in the first two postwar decades. This was not surprising, because the US economy contributed approximately 70% of the global GDP at the end of WW II and was the export engine of the world.